Class 12

Labor Markets and Worker Power

Part III — Mobilizing People and Expanding Opportunity

The American Economy — draft course materials (proposal under discussion)

The point of today's class

Free labor markets are among the great institutions of modern prosperity — but wages and working conditions are shaped not only by productivity. They also depend on outside options, employer market power, unions, minimum wages, and labor law.

Why it matters

- Millions of Americans quit their jobs every month — and that is good news. Quitting is how workers claim better wages and conditions.
- Last class: free labor means you *own* your labor. This class: what determines the deal you get for it?
- “Worker power” is not ideology — it is the ability to say no, leave, bargain, organize, or choose among competing offers.
- Three sources of power: **exit** (a tight labor market), **voice** (a union), and **productivity** (skills) — and law can strengthen or weaken all three.

Today

1. Rung 2 of the opportunity ladder: bargain
2. Wages as prices — and jobs as packages
3. Where Americans work, and how much
4. Monopsony and employer power
5. Minimum wages as evidence
6. Unions: exit, voice, and tradeoffs
7. Utah's Right to Work law

The opportunity ladder: rung 2 — bargain

Rung		Class
8	rise	the American Dream and mobility
7	move	cities, housing, and place
6	belong	race, migration, and opportunity
5	choose	women, work, and family
4	arrive	immigration and assimilation
3	learn	education and human capital
2	**bargain**	**labor markets and worker power — today**
1	own your labor	free and coerced labor

- Rung 1 — self-ownership — is necessary but not sufficient.
- Labor-market *outcomes* depend on outside options: what can you do if you walk away?

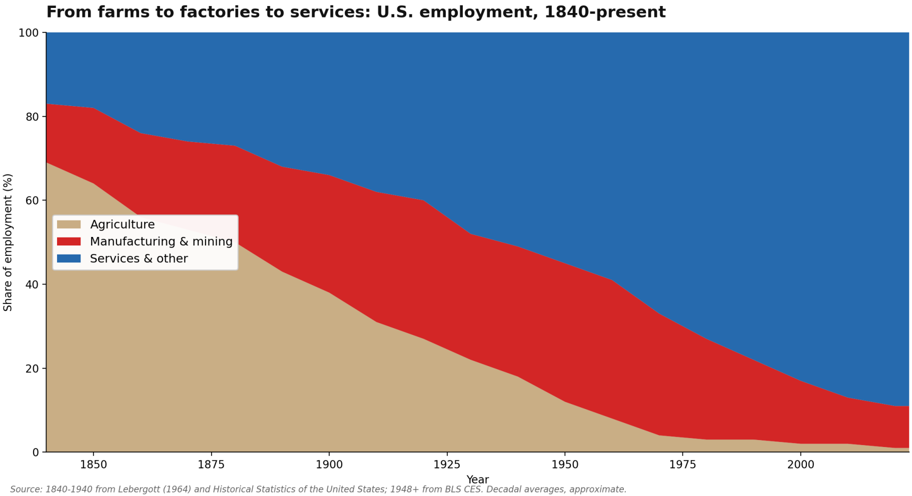
Wages are prices — but jobs are packages

- Wages tend to be higher when workers produce more value, have scarce skills, have better outside options, or work where firms compete for workers.
- But compensation is a package, not just a wage:

Job feature	Wage effect
Danger	Requires higher pay
Flexibility	May allow lower pay
Unpleasant schedule	Requires higher pay
Benefits	Substitute for cash wages
Prestige or training	May reduce current wage
Location	Affects real wage and housing costs

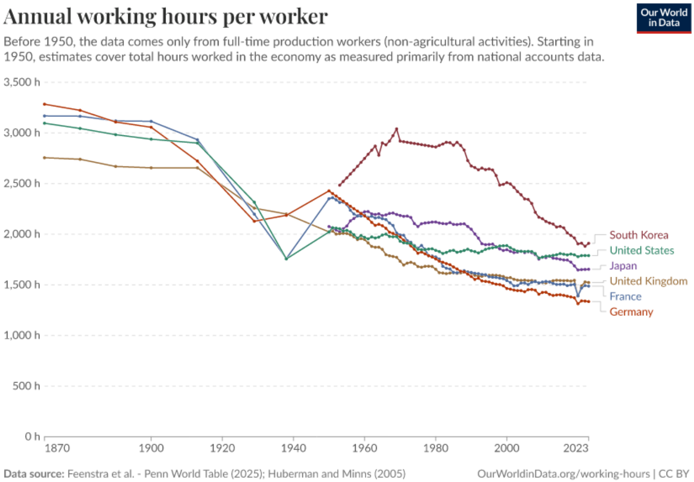
- *Compensating differentials*: wage differences that pay for risk, unpleasantness, flexibility, or amenities.

Where Americans work: sectoral employment shares



Source: Bureau of Labor Statistics; historical data from Lebergott (1964).

Annual hours worked per worker, U.S. vs. Europe



Source: Penn World Table 10.01 and OECD.

Monopsony: when employers set wages

- Test: if a firm cuts pay by 10 cents an hour, do *all* workers leave? In the textbook competitive model, yes. In the real world, no.
- Search costs, housing, family, health insurance, visas, and local attachments give employers wage-setting power (Manning, *Monopsony in Motion*).

One-employer town	Many-employer city
Few alternatives	Many alternatives
Costly to quit	Easier to switch
Employer has wage power	Firms compete for workers
Union may matter more	Exit may discipline firms

- Azar–Marinescu–Steinbaum: many local labor markets are concentrated, and concentration is associated with lower posted wages.
- Modern examples: rural hospitals, meatpacking towns, warehouse labor markets, workers under noncompetes.

Minimum wages as a test of the model

Competitive labor market	Monopsonistic labor market
Firms are wage takers	Firms have wage-setting power
Floor above equilibrium cuts jobs	Moderate floor: wages up, little job loss
Labor supply to the firm is flat	Labor supply to the firm slopes up

- Card–Krueger: New Jersey raised its minimum from \$4.25 to \$5.05 in 1992; compare fast-food jobs in NJ and neighboring PA before and after. The lasting lesson is the *method*: find a comparison group.
- Cengiz, Dube, Lindner, and Zipperer: 138 state minimum-wage increases, 1979–2016, studied through wage-bin changes around the new minimum.
- Balanced takeaway: moderate U.S. minimum wages often raise pay for low-wage workers with limited measured job loss — but effects vary by place, sector, and wage level.

Unions: exit, voice, and tradeoffs

- The NLRA (1935) is the key American institution: it protects organizing and collective bargaining — power through *voice*, not just exit.

Exit	Voice
Quit for another job	Bargain, organize, strike
Needs outside options	Works when exit is costly
Market discipline	Workplace democracy
Individual	Collective

- Membership: 20.1% of workers in 1983; 10.0% in 2025.
- Benefits: higher member wages, voice, safety, lower inequality (Farber–Herbst–Kuziemko–Naidu, data back to 1936). Costs: higher labor costs, insider–outsider effects, work-rule rigidity.
- Not "good or bad?" but: *under what conditions do unions raise welfare?*

Union membership and top-income shares

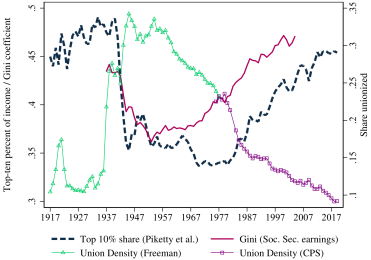


FIGURE I: UNION DENSITY AND INEQUALITY MEASURES, 1917-2019

Data sources: Top share individual income inequality from Piketty, Saez, and Zucman (2018). Union density is number of unionized workers as a share of non-agricultural workforce from Historical Statistics of the United States, together with individual union density as a share of employed civilian workers ages 16 to 65 from the Current Population Survey. We discuss these data sources in detail in Section II.B and Appendix E.

Source: Farber, Herbst, Kuziemko, and Naidu (2021), Quarterly Journal of Economics, Figure 1.

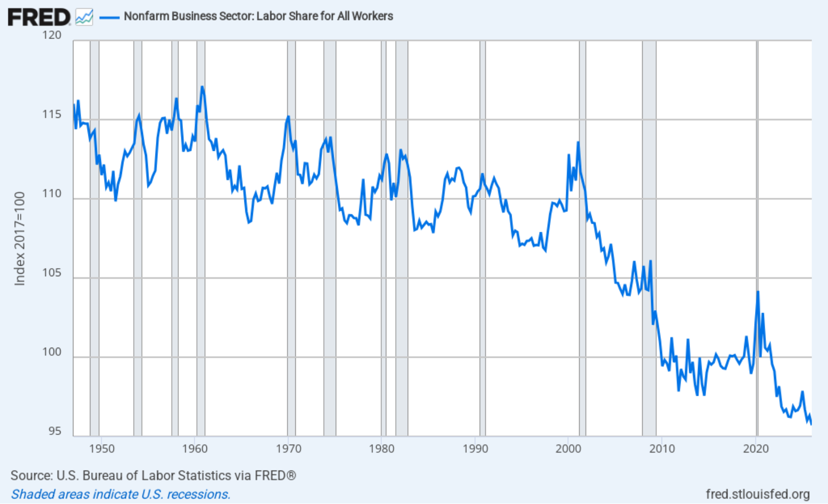
Utah's Right to Work law: a live institutional case

- Utah Code (Title 34, Ch. 34): the right to work may not be denied or abridged because of membership *or* nonmembership in a labor union.
- Right-to-work laws do not guarantee jobs; they bar requiring union membership or fees as a condition of employment.

Pro right-to-work	Pro union-security
Protects individual choice	Prevents free-riding
Reduces coercion by unions	Funds collective bargaining
May attract firms	Supports bargaining power
Freedom of association	Collective provision of representation

- The clean tradeoff: is the freedom at stake the freedom *not* to join, or the freedom to bargain collectively?

The U.S. labor share of national income



Source: Bureau of Labor Statistics, via FRED (PRS85006173).

Discussion

Five workers: a nurse in a city with six hospital systems; a nurse in a town with one hospital; a software engineer with three offers; a warehouse worker with no car and one nearby employer; a unionized teacher in a right-to-work state. Who has the best outside option? Who benefits most from exit, and who from voice? Where would a minimum wage matter most — and where does monopsony bite hardest?

Read before next class

- Farber, Herbst, Kuziemko, and Naidu, “Unions and Inequality over the Twentieth Century” (skim the figures).
- Card and Krueger, “Minimum Wages and Employment: A Case Study of the Fast-Food Industry in New Jersey and Pennsylvania” (skim the design).
- Utah Right to Work Law, Utah Code Title 34, Chapter 34 (short — read the actual text).